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Investor Presentation | Asia Pacific

China Financials: Further de-leveraging or positive development loop? How to invest?

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[China Financials: Further de-leveraging or positive development loop? How to invest? \(9 Jul 2026\)](#)

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CHINA FINANCIALS	
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Industry View	Attractive

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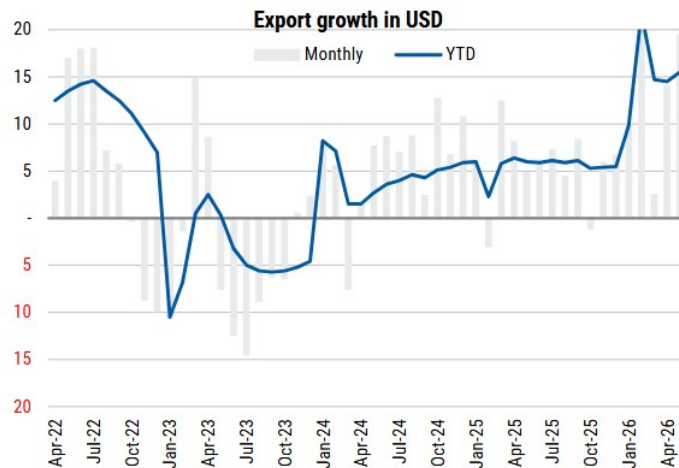
**Exiting stimulus policies has weighed on short-term sentiment
but supports more sustainable financial system development**

Some additional credit tightening kicks in during 2Q26 on the back of still-supportive external demand

We have seen several credit tightening measures in 2Q26, following a strong 1Q26 (i.e., strong export and GDP growth):

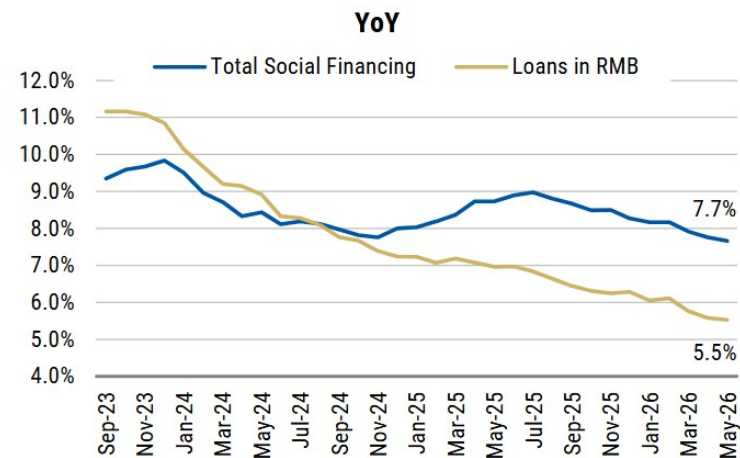
- Quantitative growth targets for SME loans were removed in the 2026 NFRA Notice on Inclusive Financing;
- Premier of the State Council Li Qiang reaffirmed the importance of LGFV resolution in May;
- Findings from the 2025 Audit Report relating to Chinese banks and the broader financial system suggest that policy focus has shifted from quantitative expansion toward higher-quality growth since 2025;
- Social securities contribution base is being tightened.

YTD export growth remained strong at 15.5% YoY in May



Source: NBS, PBOC, CEIC, Morgan Stanley Research

Both TSF and RMB loans growth continued to moderate in 2Q26

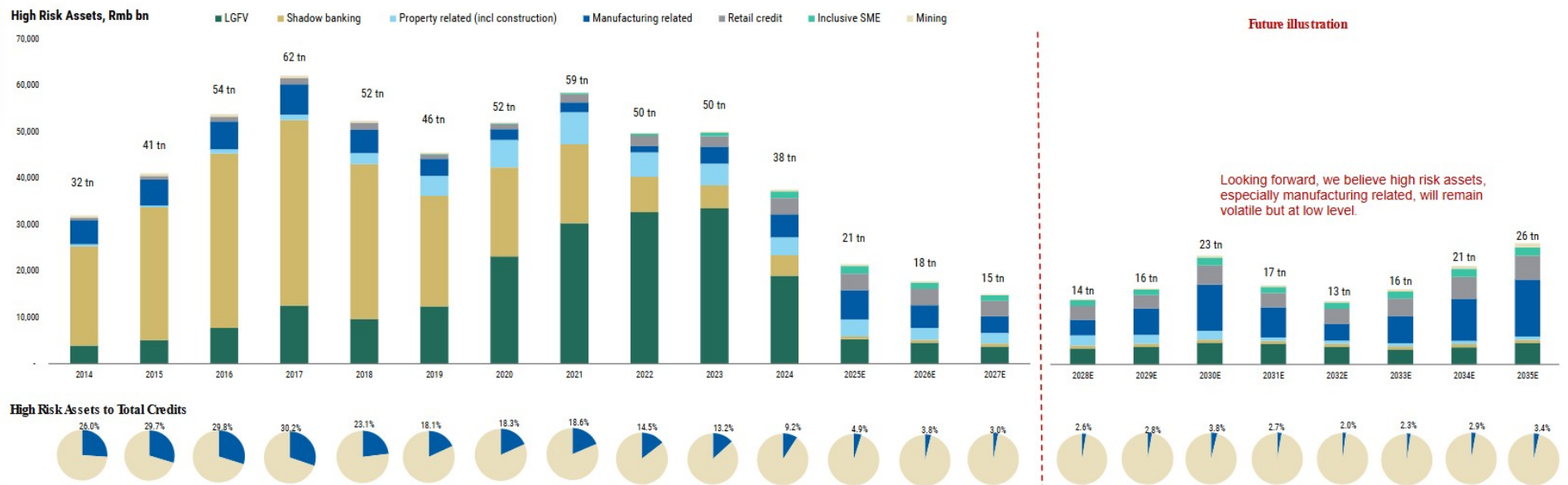


A Bigger Backdrop: The Exit of Periodic Stimulus Measures Introduced to Support a Smooth 10-year De-risking Process Is Now Necessary

The 10-year financial clean-up has reduced high-risk financial assets from Rmb62tn, or 30.2% of total financial assets in 2017, to Rmb21tn, or 4.9% of total financial assets in 2025.

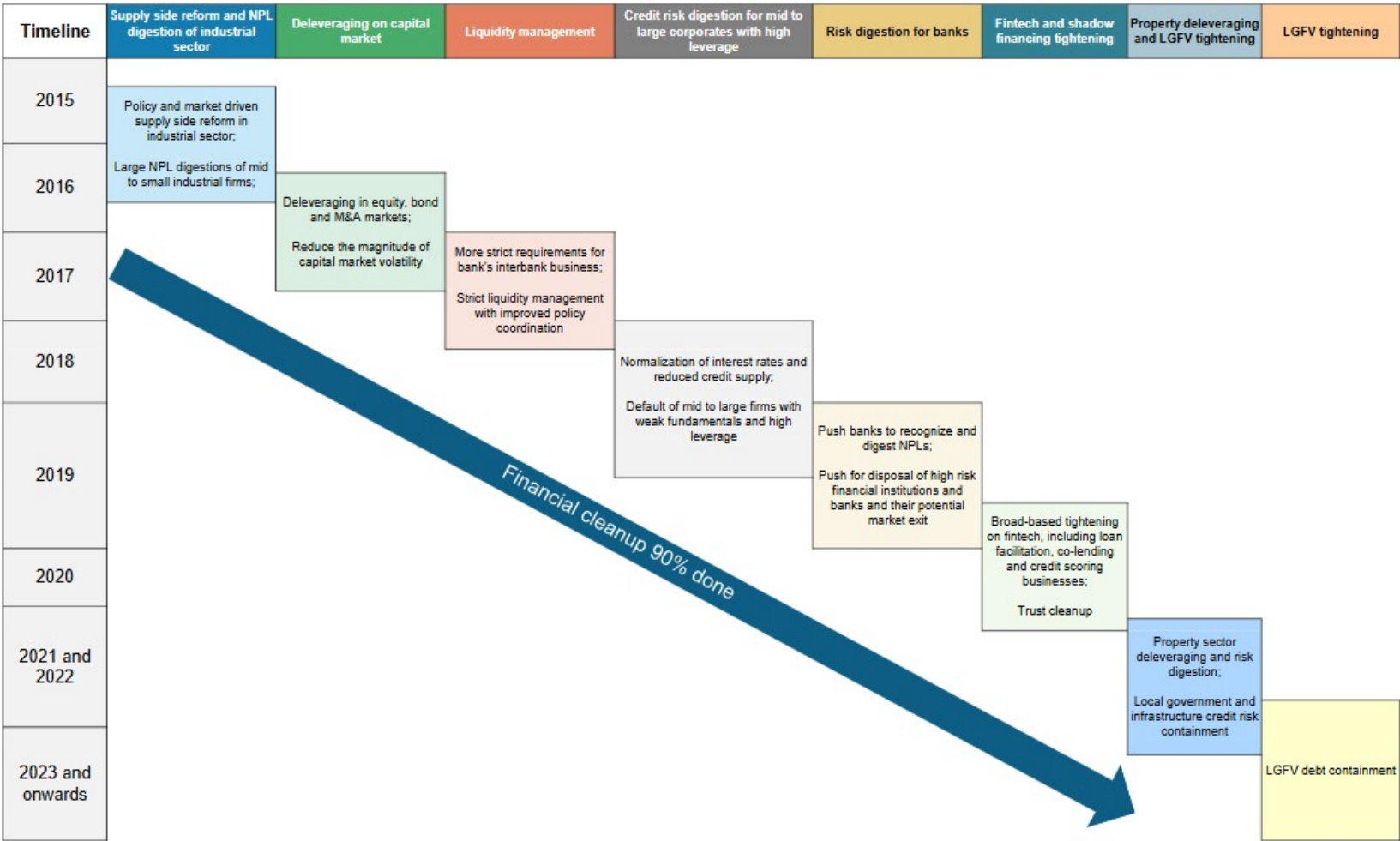
Despite the more moderate GDP growth, ongoing PPI pressure and softer loan growth, the shift in TSF composition toward government bonds, together with a heightened focus on anti-involution efforts, should further reduce high-risk financial assets to around Rmb15tn, or 3% of financial assets, by end-2027, in our view.

High-risk financial assets moderated



Source: CEIC, PBoC, Wind, SSE, Trust Association, AMAC, NFRA, China Bank Association, Morgan Stanley Research.

Most Historical Financial Sector Risks Have Been Cleaned Up Over the Past 10 Years

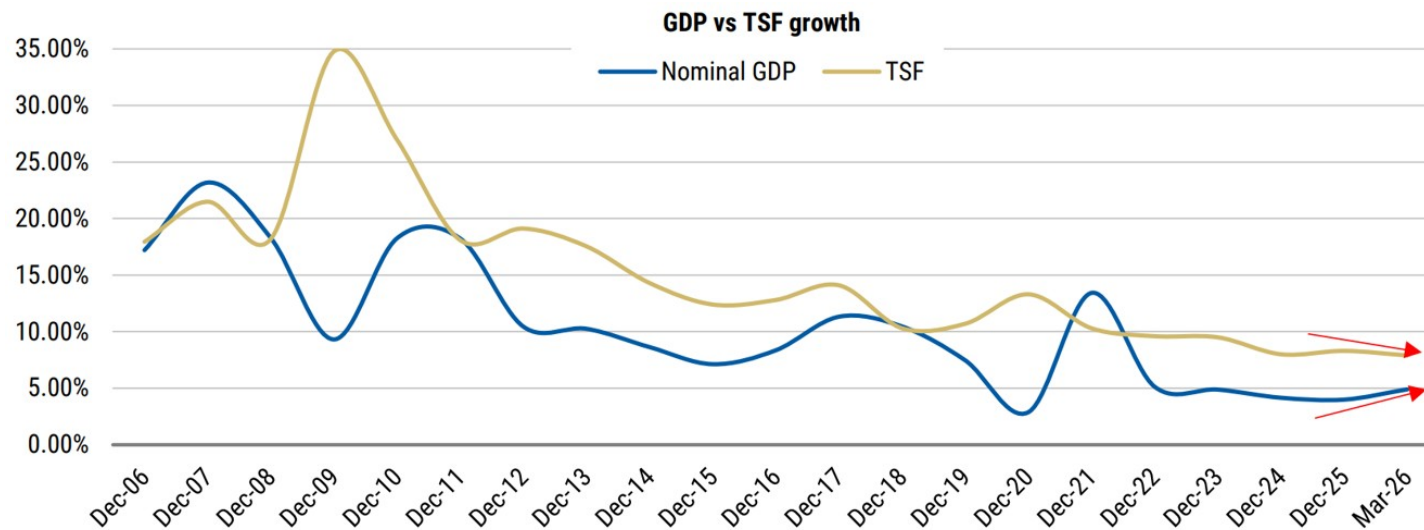


Source: Morgan Stanley Research

We Believe TSF Growth of ~6% as a More Sustainable and Desirable Medium-term Level

- The gap between TSF and GDP growth has been narrowing in the past six months, similar to the pattern seen in 2016-17, which has benefited bank stocks.
- We believe TSF growth of around 6% will be a more desirable and sustainable pace in the medium term. In our view, this would support more efficient credit allocation and a market-driven recovery in financial asset yields, while keeping financial firms focused on risks digestion rather than low quality expansion.

The gap between TSF and GDP growth is narrowing in the past 6 months



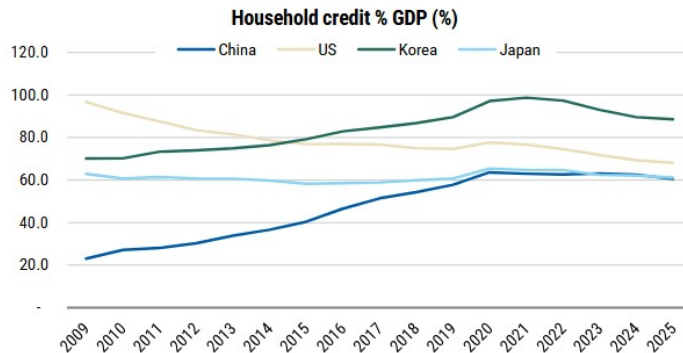
Source: PBOC, CEIC, Morgan Stanley Research

**Household de-leveraging remains positive over the long term
despite a short-term drag on consumption**

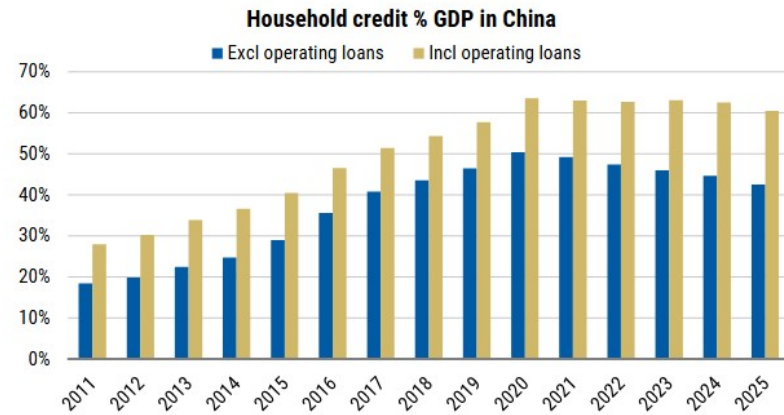
Another Two Years of Household De-leveraging Likely Despite Already Moderating Household Debt-to-GDP Ratios

- China's household credit leverage increased steadily from 2014 to 2020, driven by quick credit expansion from P2P and consumer loans.
- Following rapid household leveraging increase before 2021, we have observed notable de-leveraging efforts in recent years, with: 1) the clean-up of P2P loan business and regulatory efforts to drive more rational consumer credit growth; 2) Covid's impact and a slower housing market; and 3) banks retail risk digestion since 2025.

Household credit % GDP in China continued to climb from ~23% in 2009 to ~64% in 2020, and remained relatively stable before some decline in 2025



Excluding operating loans, household leverage actually declined since 2021



Source: FRED, PBOC, WIND, CEIC, Morgan Stanley Research

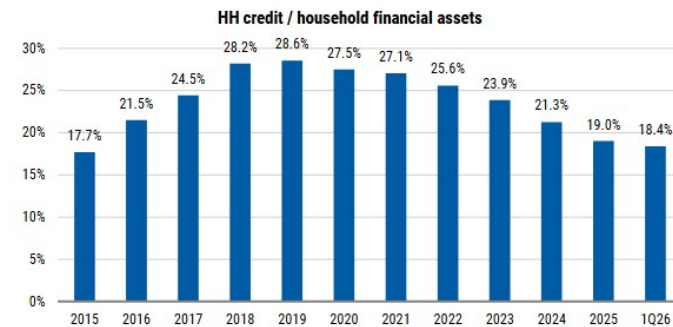
Asset Growth Remained Positive, Supported by Strong Financial Asset Growth

- Household financial assets have continued to expand in recent years despite Covid and macro uncertainties, supporting positive household asset growth despite lower housing price.
- We believe it could take another two years for household asset growth to return to a more normal 4-5% annual growth rate.

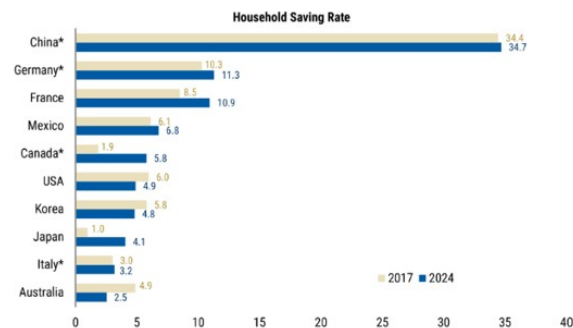
Strong growth in household financial assets



HH credit as a percentage of financial assets decreased

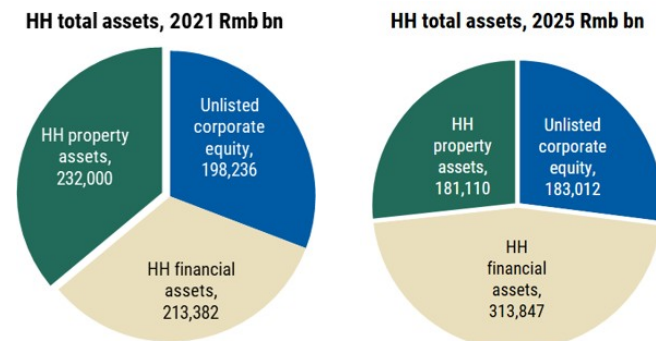


China's household saving rate is high



*2024 data for China, Germany, Canada and Italy, 2023 data for the others

Breakdown of total household assets in China

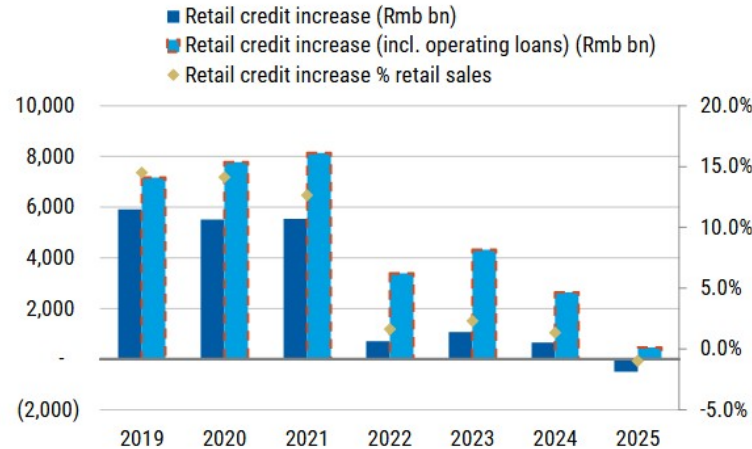


Source: Haver, CEIC, WIND, NBS, National Institution of Finance and Development, PBOC, SSE, Trust Association, AMAC, NFRA, China Bank Association, Morgan Stanley Research

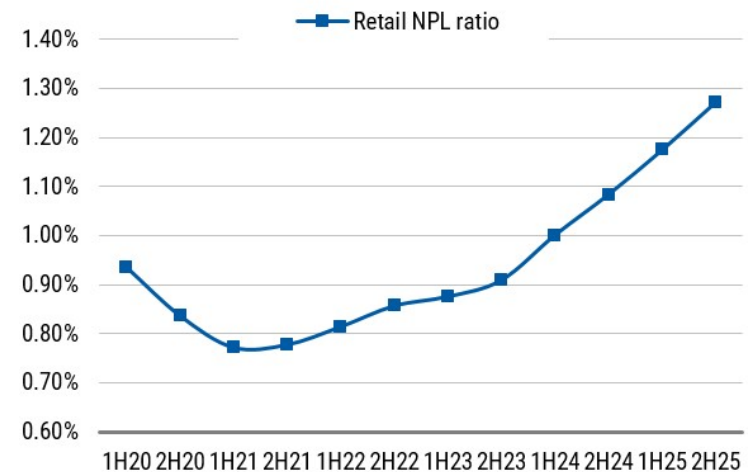
De-leveraging Could Weigh on Consumption Growth in the Short Run But Help Reduce Credit Risks

- We estimate that the household de-leveraging effort has reduced support for annual household spending by Rmb4-5tn.
- Total retail credit growth (including person operating loans) fell below both GDP and household income growth for the first time in 2024 and 2025 since 2019.
- We expect retail credit growth to remain subdued for several more years as households continue to de-leverage and most temporary policy support measures for retail lending have been withdrawn.

Retail credit increase was notably lower in 2022-25, with less contribution to spending



Retail NPL ratio picked up



Source: PBOC, NBS, WIND, CEIC, Company data, Morgan Stanley Research

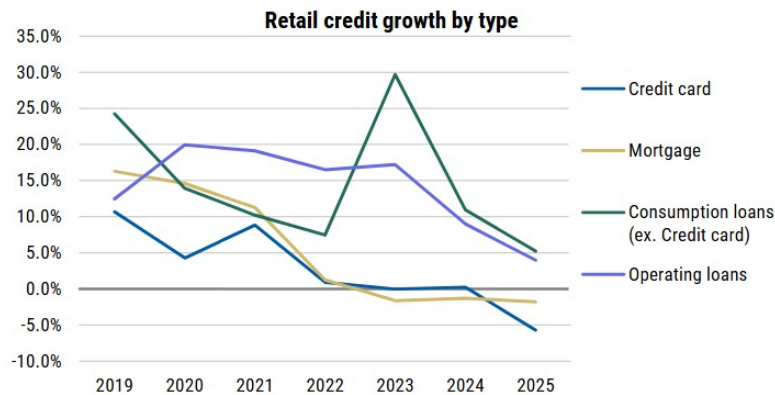
Further Deleveraging Remains Necessary in Certain Credit Segments Which Have Seen Rapid Growth in Recent Years

Despite continued slowdown in overall retail credit growth in the past, consumption loans and operating loans notably outpaced average growth.

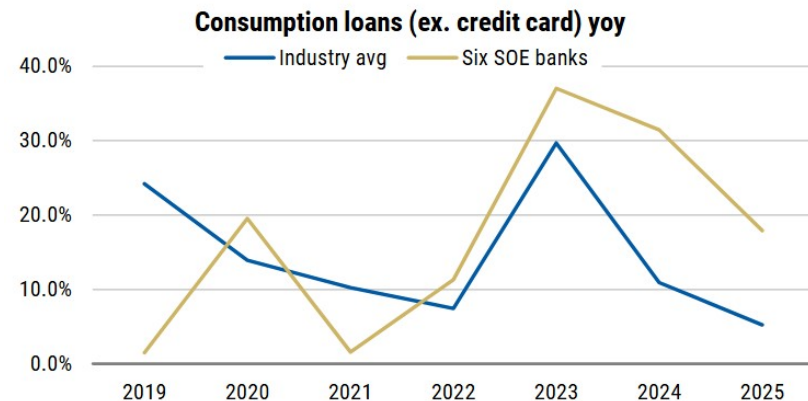
We think these two sectors are facing increasing need for de-leverage for adjustment or normalization:

- For consumption loans, the growth is still higher than household income growth, which may be not sustainable.
- For operating loans, a portion has effectively served as a substitute for mortgage refinancing or other personal financing needs rather than genuine business purposes.

Consumption loans and operating loans notably outpaced average retail credit growth



Consumption loan (ex. credit card) growth at six SOE banks is much higher than industry average



Source: Company data, PBOC, CEIC, Morgan Stanley Research

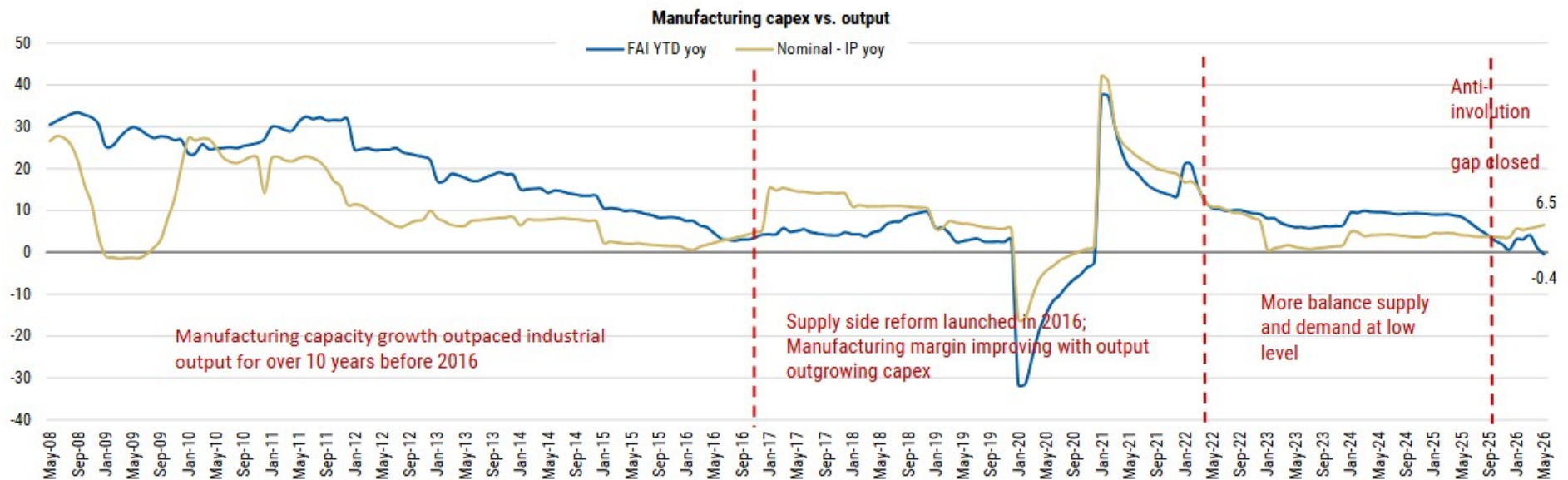
Industrial and infrastructure growth should support credit demand in a sustainable manner

Where Are We in the Industrial Cycle Right Now?

The shift in global production to China during Covid and upgrades in China's various manufacturing sectors supported a strong pickup in demand growth despite the capacity expansion.

As a result, we saw industrial production growth (in nominal terms) continue to outpace FAI in 2020 and 2021, sustaining the trend started in 2016 with the onset of supply-side reforms.

Manufacturing capacity growth in China outpaced industrial output for over 10 years before supply-side reforms in 2016

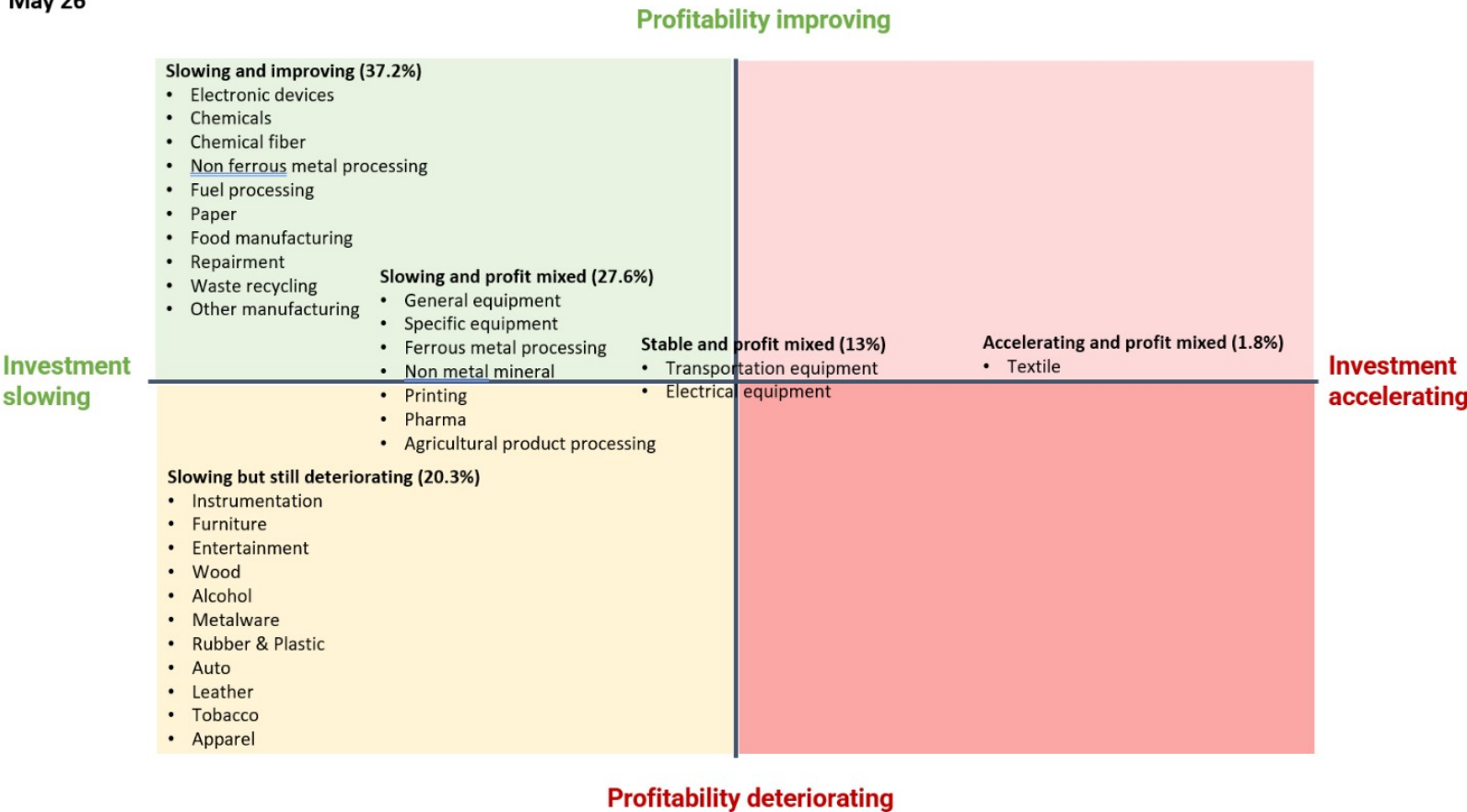


Source: NBS, CEIC, Morgan Stanley Research

May 2026 Trend – 85.1% of the Industrial Sectors Slowed Down Capex vs. Mid-2024

85.1% (in terms of liabilities) of sectors slowed capex in May 2026 vs. 1H24; 37.2% of sectors showed better profit trends in May

May 26



Source: NBS, CEIC, Morgan Stanley Research
Note: number in () represents their mix in total manufacturing liabilities.

High Risk Credits Have Declined to 7.1% of Industrial Credits as of End-2025

Sub sectors by risk profile and assumptions on high-risk credit proportion

	Low risk	Medium risk	High risk	Potential % of credit at risk	% of manufacturing credit
Electronic devices				4.0%	15.4%
Electrical equipment				10.7%	11.0%
Auto				10.7%	9.5%
Chemicals				4.0%	8.5%
Ferrous metal processing				10.7%	6.3%
Non ferrous metal processing				4.0%	4.5%
Non metal mineral				10.7%	5.9%
Fuel processing				10.7%	3.7%
Agricultural product processing				10.7%	2.9%
Metalware				4.0%	3.2%
General equipment				4.0%	4.9%
Specific equipment				4.0%	4.5%
Rubber & plastic				4.0%	2.3%
Pharma				4.0%	2.7%
Textile				10.7%	1.8%
Food manufacturing				4.0%	1.6%
Alcohol				10.7%	1.4%
Paper				10.7%	1.3%
Apparel				4.0%	0.7%
Entertainment				4.0%	0.7%
Transportation equipment				4.0%	2.0%
Tobacco				4.0%	0.3%
Leather				4.0%	0.4%
Waste recycling				10.7%	0.6%
Chemical fiber				4.0%	1.0%
Wood				17.3%	0.4%
Instrumentation				4.0%	1.0%
Printing				4.0%	0.5%
Furniture				10.7%	0.5%
Other manufacturing				4.0%	0.1%
Repairment				4.0%	0.3%
Overall potential manufacturing credit at risk:					7.1%

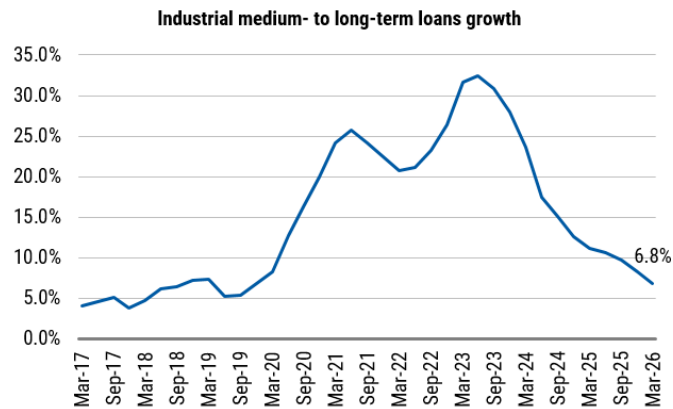
NPLs could be digested over a three-year period at Rmb1.3tn per year

Potential high risk credit to be digested	7.1%
To be digested in:	3 years
Annual digestion	2.4%
Annual digestion in 2022-2025	1.5%
Annual digestion in excess of previous level	0.8%
Total manufacturing related loan size, 2025	56,951
Total annual risk digestion since 2025	1,341
Annual digestion in excess of previous level, bn	474
	0.10%

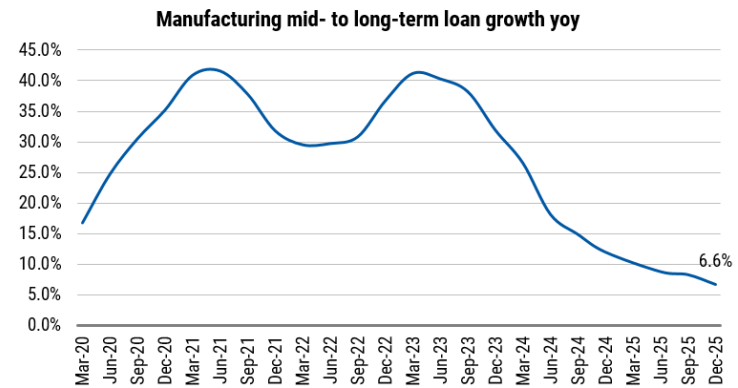
Source: NBS, CEIC, PBOC, Morgan Stanley Research

Already Notable Progress in Containing New Risks

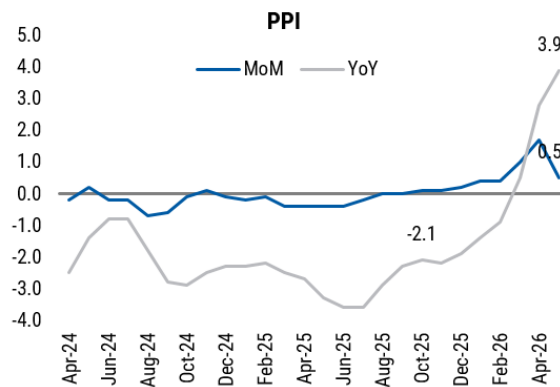
Industrial mid- to long-term loan growth has continued to moderate since end 2023



Manufacturing mid- to long-term loan growth also moderated to 6.6% yoy as of end-2025



PPI increased 0.5% MoM and 3.9% YoY in May 2026



Overall manufacturing profit growth picked up to 20% yoy in Jan-May 2026

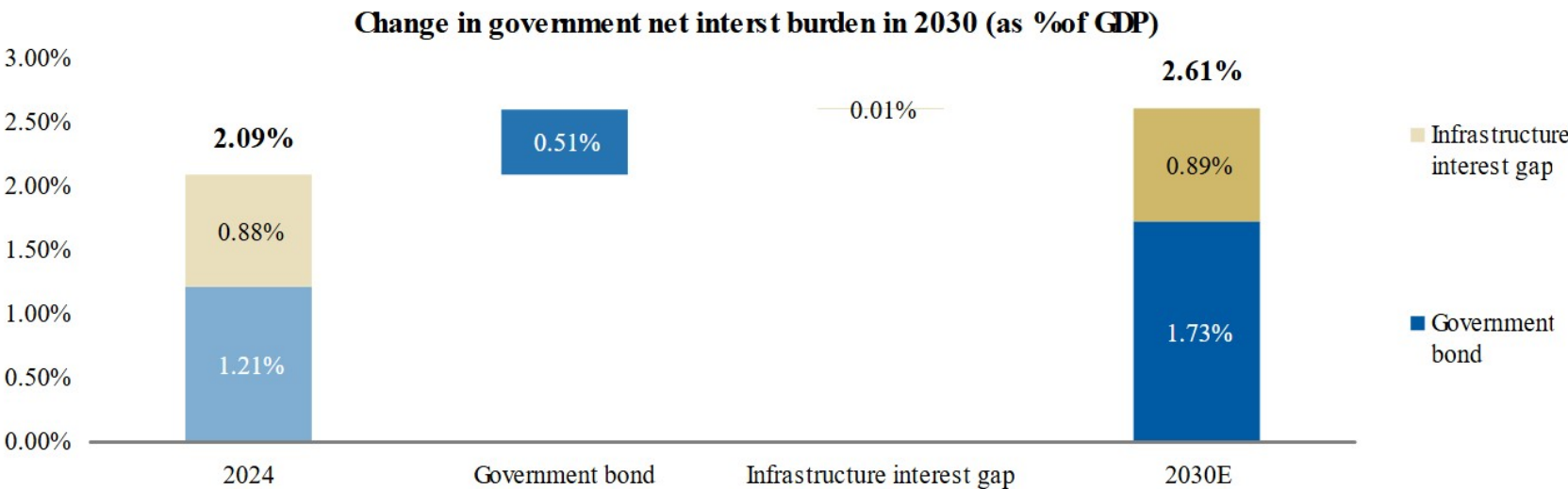


Source: PBOC, NBS, CEIC, Wind, company data, Morgan Stanley Research

Infra Investment Should Continue to Serve as Downside Support as Government Net Interest Burden Remains in Check

- We estimate that if China largely maintains the current pace of increasing government leverage as well as infrastructure spending, the government net interest burden could rise 52bp, from 2.09% in 2024 to 2.61% in 2030.
- Notably, we think a 2.61% net interest burden will remain a manageable level even though it has risen from ~2.1% in 2024, and 1.43% in 2016, according to our estimate.

We estimate government net interest burden could go up to 2.61% in 2030E if China largely maintains the current pace of government leverage increase

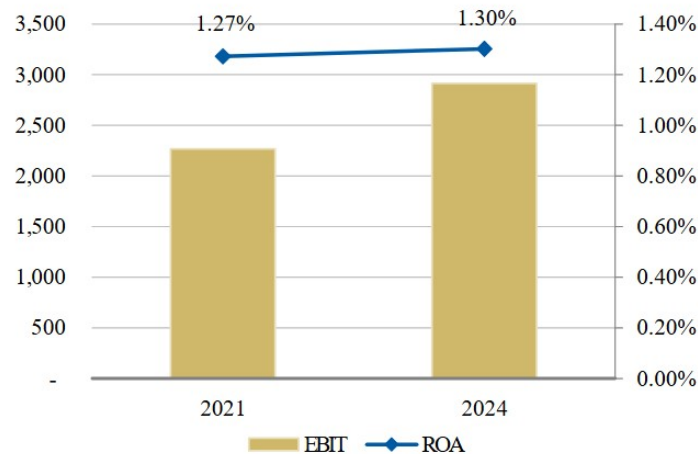


Source: IND, CEIC, NBS, MoF, PBOC, company data, Morgan Stanley Research estimates (E)

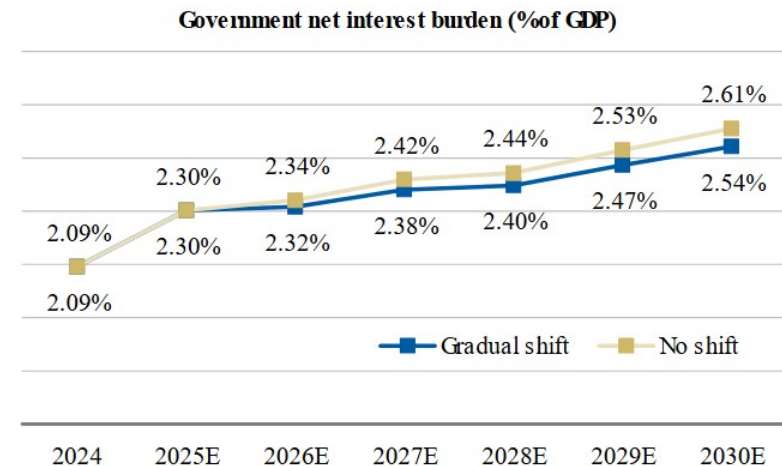
Cash Flow-generating Capabilities of Infrastructure Projects Have Gradually Improved in Recent Years

- Our analysis shows that ROA (EBIT over asset balance) for infrastructure projects improved slightly to 1.30% in 2024, with EBIT rising from Rmb2.2tn in 2021 to Rmb2.9tn in 2024, covering ~70% of the annual interest payment.
- In a scenario of gradual shift of fiscal resources from infrastructure to consumption and welfare, we expect the government net interest burden to be 2.54% by 2030.

Infrastructure as a whole has seen gradually improving ROA from 2021 to 2024 (Rmb bn)



Government net interest burden to be lower at 2.54% by 2030 vs. that in a no-shift scenario, on our estimate

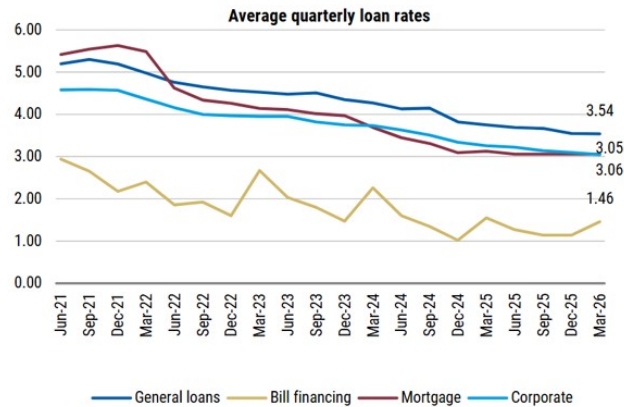


Source: CEIC, PBOC, State Council, MoF, NBS, company data, Morgan Stanley Research estimates

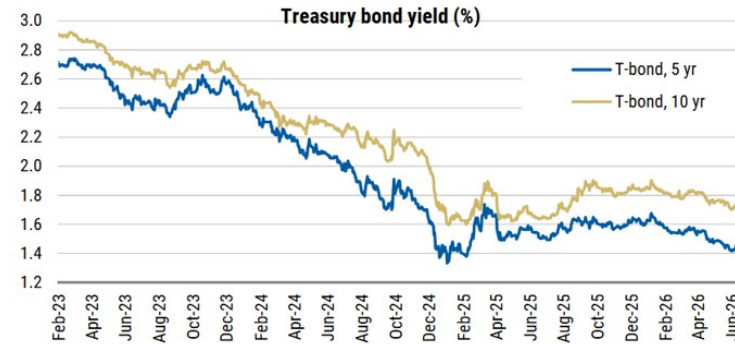
Positive financial development loop remains intact despite continued exit of stimulus

Earlier-than-expected Rebound in Bank NIM and Revenue Growth, which We Expect to Continue with Stabilizing/Rebounding Financial Asset Yields

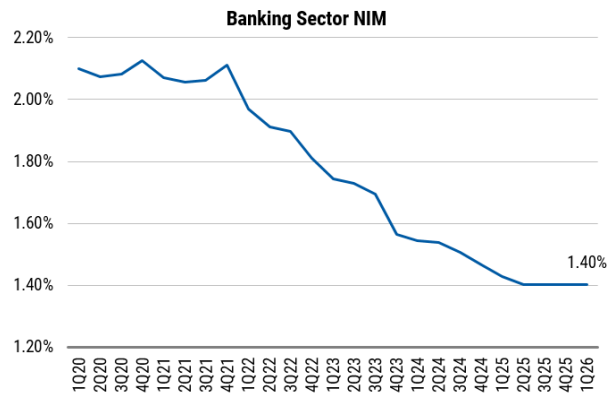
Loan rates are gradually stabilizing



T-bond yield remained at reasonable levels



Banking sector NIM was flat qoq in 1Q26



Source: PBOC, NFRA, Company data, CEIC, Morgan Stanley Research

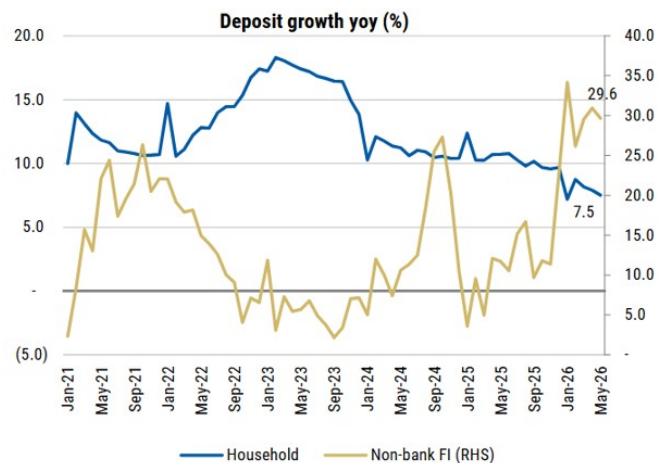
On average, SOE banks' revenue growth increased to 8.4% YoY in 1Q26

Operating income YoY	1Q25	2Q25	3Q25	4Q25	1Q26
ICBC	-3.2%	6.8%	3.4%	1.5%	8.3%
CCB	-4.8%	11.3%	-1.8%	2.5%	11.0%
BOC	2.6%	4.7%	0.9%	9.2%	8.4%
ABC	0.3%	1.1%	4.3%	2.1%	10.5%
BoCom	-1.2%	2.7%	4.2%	2.6%	4.9%
CMB	-3.1%	-0.4%	2.1%	1.6%	3.8%
PSBC	-0.1%	3.1%	2.4%	2.4%	7.6%
Minsheng	7.4%	8.3%	4.6%	-0.8%	2.7%
Citic	-3.4%	-2.6%	-4.3%	6.9%	5.2%
Everbright	-4.1%	-7.0%	-13.0%	-3.0%	-3.9%
CRCB	1.3%	-0.4%	1.1%	3.6%	8.4%
Industrial	-3.6%	-0.9%	-0.6%	7.7%	-1.1%
PingAn	-13.1%	-7.0%	-9.2%	-12.4%	4.7%
SPDB	1.3%	4.0%	0.3%	2.3%	1.4%
Huaxia	-20.8%	6.7%	-16.1%	2.2%	35.7%
Ningbo	5.6%	10.3%	9.2%	7.0%	10.2%
Chengdu	3.2%	8.5%	-2.9%	1.8%	6.5%
Hangzhou	2.2%	5.6%	-4.0%	0.3%	4.3%
Beiling	-3.2%	5.1%	-5.7%	-10.0%	14.4%
Avg-SOE	-1.1%	5.0%	2.3%	3.4%	8.4%
Avg-Total	-1.9%	3.2%	-1.3%	1.4%	7.5%

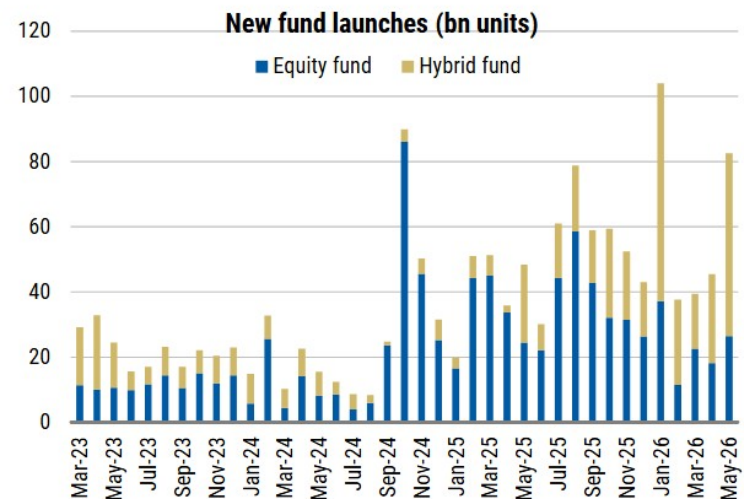
Household Financial Asset Growth Remains Strong, with Increasing Diversification Beyond Deposits

- Household deposit growth has continued to moderate since 2025, suggesting that a portion of new savings is being allocated to other financial products, evidenced in strong non-FI deposit growth, up 29.6% yoy.
- We believe new savings have shifted toward products such as WMPs and mutual funds, as A-share market activity has remained strong YTD, with turnover staying elevated alongside stronger retail and leveraged participation.

Household deposit growth moderated to 7.5% yoy in May 2026; while non-FI deposit up 29.6% yoy



New fund launches jumped in May 2026

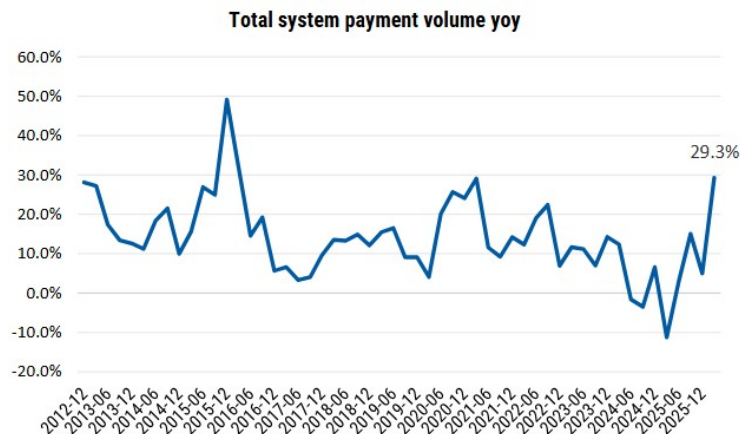


Source: PBOC, CEIC, Morgan Stanley Research

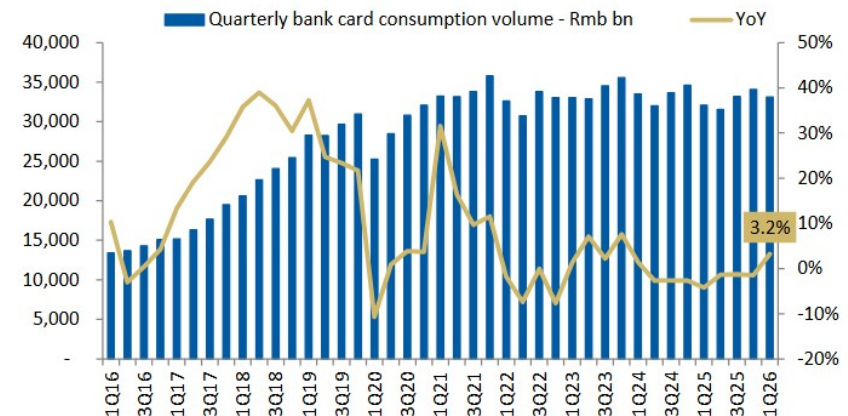
Payment Recovery and RMB Internationalization Should Benefit China Financial Firms

- Total and Consumption payment recovered in 1Q26.
- Financial de-risking paved the way for RMB internationalization and broader financial open-up, which should add new growth drivers for China financial firms in the long run.

Total system payment volume picked up 29% yoy in 1Q26



Bank card consumption growth turned positive, up 3.2% yoy, vs decline in 2025



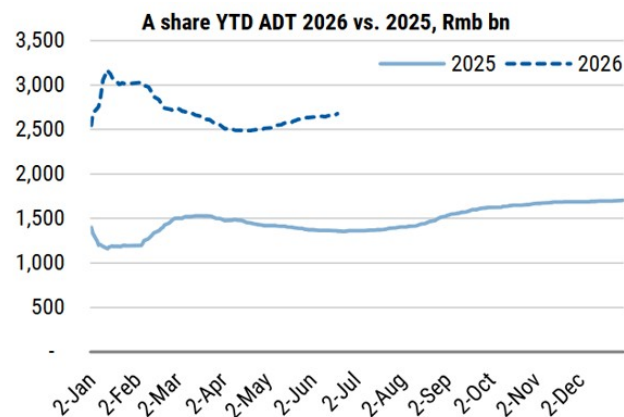
Source: PBOC, CEIC, Morgan Stanley Research

How to invest following sector volatility in 1H26?

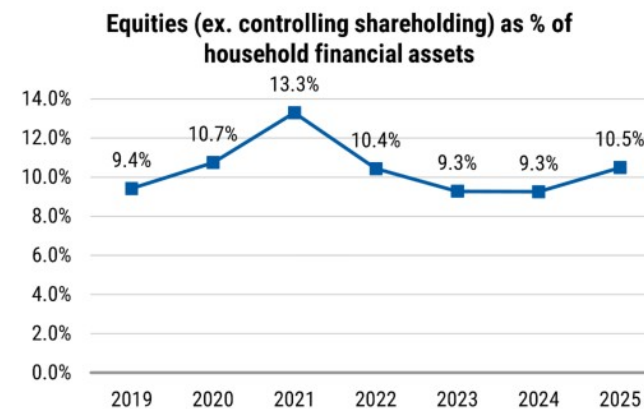
China Brokers: Capital Markets Could Evolve Towards a Slow-bull Scenario Driven by the Positive Loop

- 1) Rising trading volume happens in tandem with household deleveraging, which suggests a more sustainable driver - asset allocation shift - rather than credit influx.
- 2) Household reallocation of financial assets has continued in 2026, following a rebound in the equity share of household financial assets to 10.5% in 2025 from a multi-year low in 2024 at 9.3%, per our estimates.
- 3) Still, current equity allocations remain 1-2ppt below the 13.3% level seen in 2021.

2026 YTD A share ADT doubled yoy



Household allocation to equities picked up in 2025

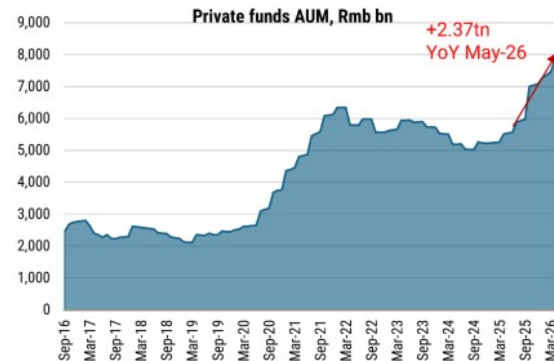


Source: CEIC, WIND, NBS, PBOC, SSE, Trust Association, China Banking Association, AMAC, NFRA, Morgan Stanley

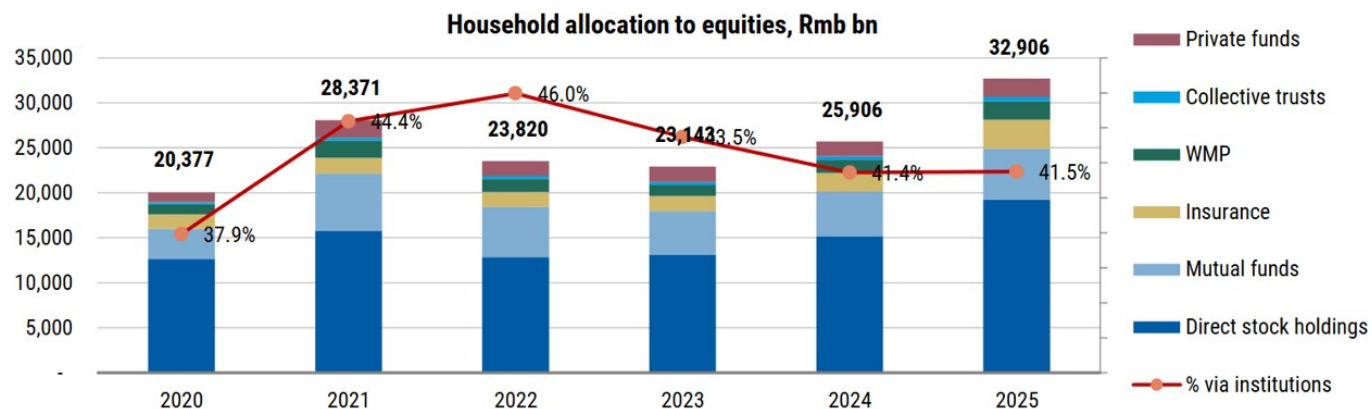
China Brokers: Capital Markets Could Evolve Towards a Slow-bull Scenario Driven by the Positive Loop

- 1) Institutionalization trend back on track, favoring brokers with a stronger institutional franchise.
- 2) Institutionalization is an important structural positive for brokers: higher demand for risk management, hedging, leverage, trading strategies and cross border allocation, etc.

Private securities funds added a substantial Rmb2.37tn in AUM yoy as of May 2026



Around 41.5% of household's equity investments are made via institutions in 2025

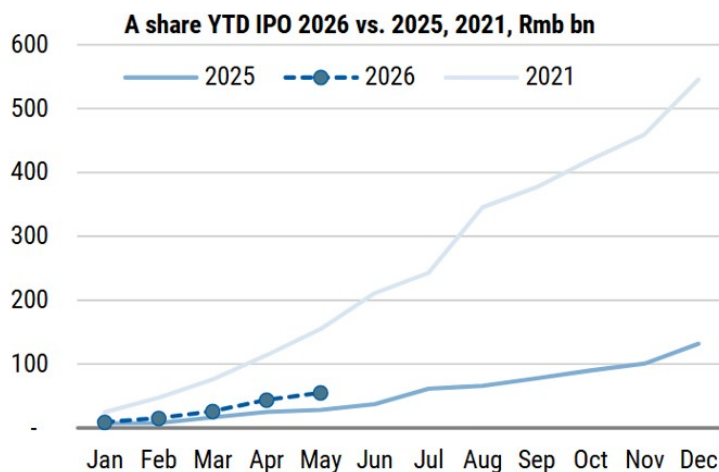


Source: CEIC, WIND, NBS, PBOC, SSE, Trust Association, China Banking Association, AMAC, NFRA, Morgan Stanley

China Brokers: Capital Markets Could Evolve Toward a Slow-bull Scenario Driven by the Positive Loop

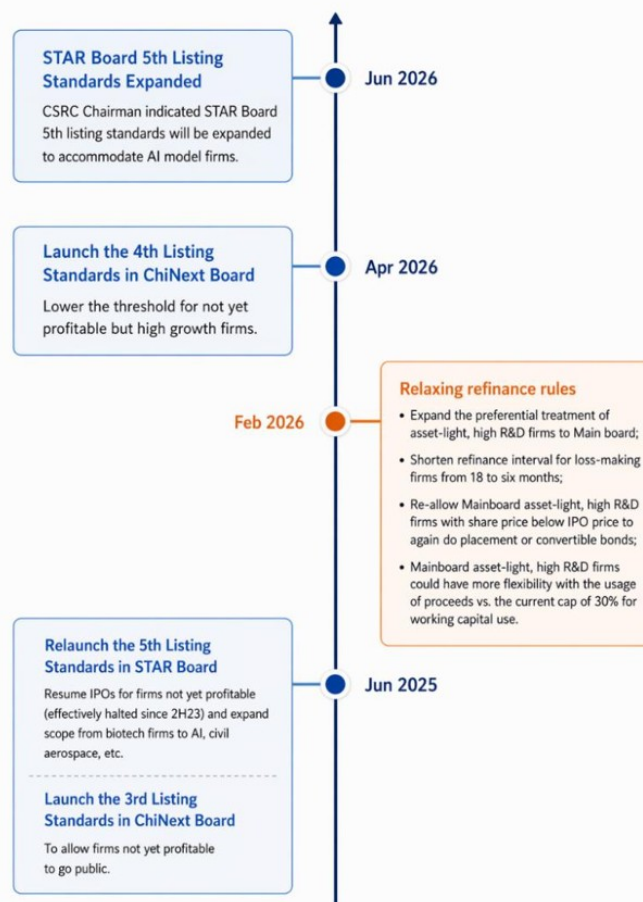
- 1) Still early in a tech and industrial upgrade cycle characterized by ever-increasing capital intensity.
- 2) Primary and secondary market fundraising is entering a positive loop.
- 3) Capital market regulators have been setting up guardrails in the past three years – ensuring fundraising and investor return to be better balanced going forward.

A share IPO YTD volume rose 95% yoy



Source: WIND, Morgan Stanley

CSRC's Relaxation and Reform Efforts on A-share IPO and Refinancing

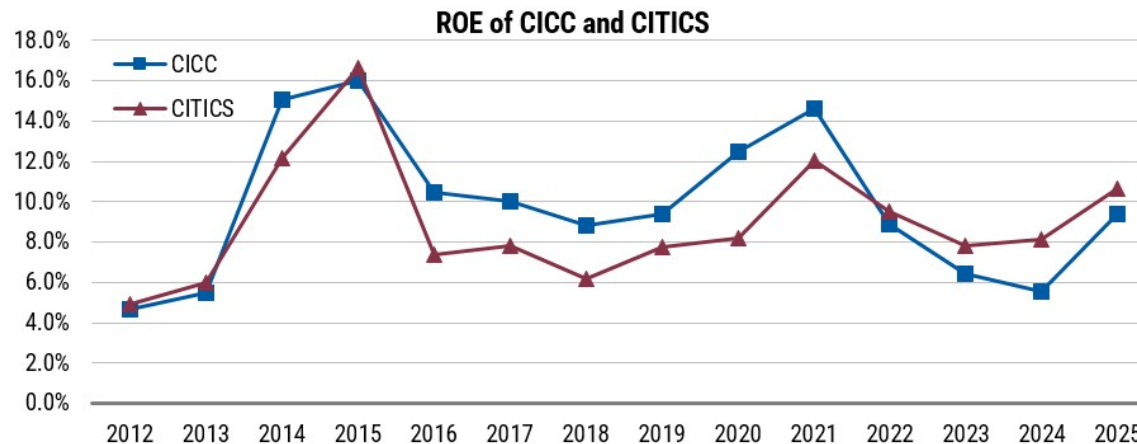


China Brokers: Leading Players Can Maintain Double-digit ROE for Longer

We believe leading brokers can maintain double digit ROE for longer by capitalizing on steadily increasing activities level as well as market share gains.

- **CICC-H:** Well-positioned to gain institutional market share; specialized in equity trading and orchestrating large deals; potential merger to help scale up;
- **CITICS-A:** A high-quality capital market play with a solid market position among leading Chinese brokers as well as a balanced business mix. The company's strong franchise in institutional and retail brokerage makes it well positioned to drive revenue growth if ADT, fundraising and derivatives volume pick up.

Leading brokers have entered an ROE recovery cycle, which we expect to last longer than historically



Source: Company data, WIND, Morgan Stanley Research

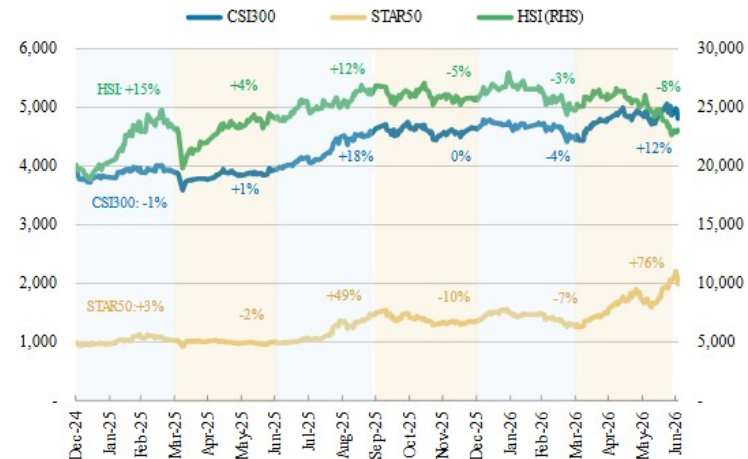
Insurers: Solid fundamentals Remain Intact, While Market Divergence Drives Differentiated Outcomes

- Some moderation in sales momentum, but demand remains healthy and business quality continues to improve.
- Interest rates remain relatively stable, while divergent equity market performance may drive earnings dispersion.
- National team selling remains a key factor to monitor, while valuations and dividend yields remain attractive across most insurers.

10-year Treasury bond yield since 2025



Market index performance since 2025



Source: FactSet, Morgan Stanley Research; Price as of July 9, 2026

China Banks: Steady Performers with Improving Profit Outlook

Although we expect some muted performance following dividend payments through November, we believe banks should continue to deliver steady performance thereafter.

We expect long-term ROE of our covered banks to stabilize at ~9%, supported by financial asset yield rebound, fee income recovery and stable asset quality.

Banks forward P/B declined since late 2025 but rebounded recently

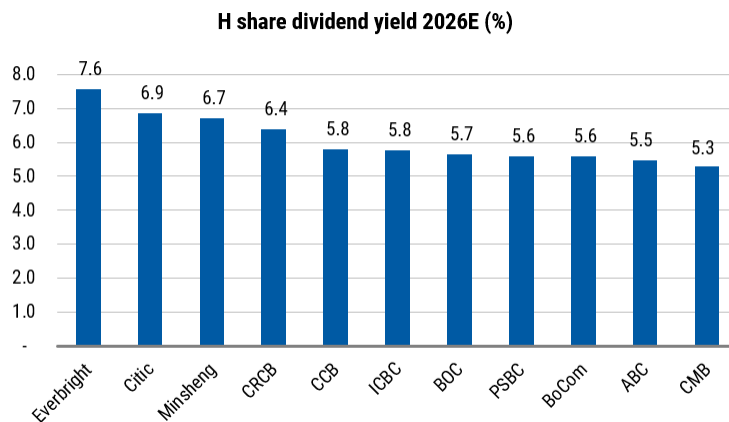


Source: FactSet, Morgan Stanley. Close price as of July 10, 2026.

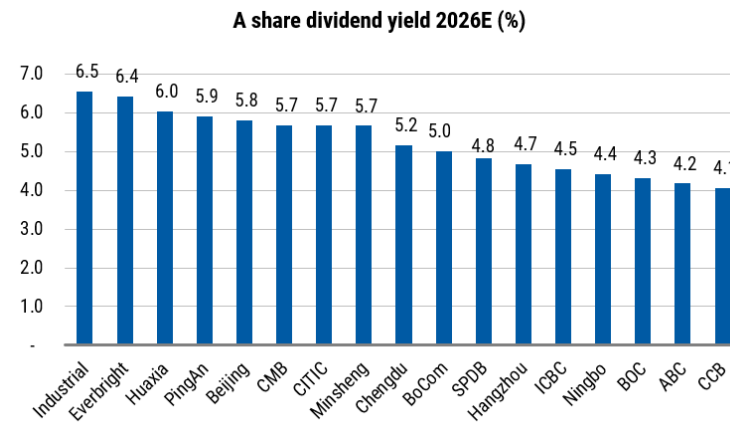
China Banks: Steady Performers with Improving Profit Outlook

- **Industrial Bank:** Highest dividend yield among all A-shares we cover, at 6.5%.
- **CITIC Bank-H:** 6.9% dividend yield amid healthy profit growth.
- **CCB-H** and **BOC-H:** Stable profit growth, still-attractive dividend yield and less uncertainty from dilution of capital injection.
- **Bank of Ningbo:** Double-digit loan and profit growth amid market share gains with more rational competition and superior product/services.

A-share dividend yield



H-share dividend yield



Source: Morgan Stanley Research estimates (E). Close price of July 10, 2026.

Valuation Methodology and Risks

Bank of Ningbo Co. Ltd (002142.SZ)

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 11.4% in the base case, and we assume 13.7% for second-stage and 13% for long-term ROE with a 58% dividend payout ratio in the long run.

Risks to Upside

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

Risks to Downside

- Risks from potential change in leadership.
- Higher default risks from SME and retail business expansion.
- Pricing pressure from destructive competition in the market.

China CITIC Bank Corporation Limited (0998.HK)

3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 9.8% discount rate, 9.2% second-stage ROE, 8.8% long-term ROE, 39% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Risks to Upside

- Faster-than-expected fee growth.
- Better-than-expected asset quality.
- Noticeable reduction in policy intervention.

Risks to Downside

- Asset quality could deteriorate if economic trends worsen.
- Unexpected decrease/slowdown in fee income.
- Social responsibilities continue to weigh in.

China International Capital Corp. Ltd. (3908.HK)

P/B ROE regression analysis, weighted 60% base, 20% bull and 20% bear. The weightings are more balanced as we apply a notably higher ROE assumption in our base case, implying part of the upside in our bull case has already been factored in our base case.

Key assumptions:

- ROE: base 12.5%, bull 13.9%, bear 5.9%

- P/B: base 1.09x, bull 1.6x, bear 0.31x - benchmarked to global peers

Risks to Upside

- Faster macro recovery and reduced geopolitical risks
- Stronger-than-expected growth in IPO and follow-on financing
- Normalizing onshore regulatory tightening

Risks to Downside

- Slower-than-expected macro recovery weighing on equity market performance and equity investor risk appetite
- Stagnant cross-border business from offshore market volatility

CITIC Securities Co. (600030.SS)

P/B–ROE regression analysis, weighted 60% base, 20% bull and 20% bear. This reflects our balanced view on capital market activity level going forward considering upside from continued innovation and downside from higher geopolitical risks.

Key assumptions:

ROE: base **13.3%**, bull **16.8%**, bear **7.4%**

P/B (A): base **1.7x**, bull **2.86x**, bear **0.73x**

Target P/B: **1.74x**

Risks to Upside

- Faster macro recovery in China and reduced geopolitical risks
- Any news on group consolidation and/or M&A among top securities firms
- Faster A-share IPO rebound

Risks to Downside

- Higher macro risks
- Black swan events and policy missteps with untimely reactions
- Lower than expected A-share IPO volume

Industrial Bank Co. Ltd. (601166.SS)

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 10.6% in the base case; we assume 9.3% for second-stage ROE and 9.5% for long-term ROE, with a 42% dividend payout ratio in the long run

Risks to Upside

- Faster-than-expected bond market development.
- More resilient credit demand leading to stronger NIM.
- Noticeable reduction in policy intervention.

Risks to Downside

- Slower-than-expected retail AUM growth, resulting in less support for the sale of asset management products.
- Worse-than-expected asset quality.
- Slower build-up of regulatory system for asset management that delays consolidation.

Disclosure Section

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI

AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Bank of Ningbo Co., Ltd (002142.SZ) - As of 07/10/26 GMT in CNY

Industry : China Financials



Stock Rating History: 7/1/21 : NA/A; 8/17/22 : 0/A

Price Target History: 8/17/22 : 40; 9/19/22 : 40.2; 5/12/23 : 44.4; 9/28/23 : 35.8; 12/13/23 : 30.5; 6/5/24 : 34.3; 2/26/25 : 39.2; 4/16/25 : 35.6; 8/5/25 : 41.1; 3/18/26 : 45; 5/26/26 : 48.3

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

China CITIC Bank Corporation Limited (0998.HK) - As of 07/10/26 GMT in HKD
Industry : China Financials



Stock Rating History: 7/1/21 : 0/A; 5/20/22 : U/A; 5/12/23 : E/A; 4/16/25 : 0/A

Price Target History: 5/20/21 : 5.3; 5/20/22 : 3.6; 9/19/22 : 2.4; 5/12/23 : 4.9; 9/28/23 : 4.1; 12/13/23 : 3.7; 6/5/24 : 4.5; 2/26/25 : 6.2; 4/16/25 : 7.3; 8/5/25 : 9.2; 5/26/26 : 10.3

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

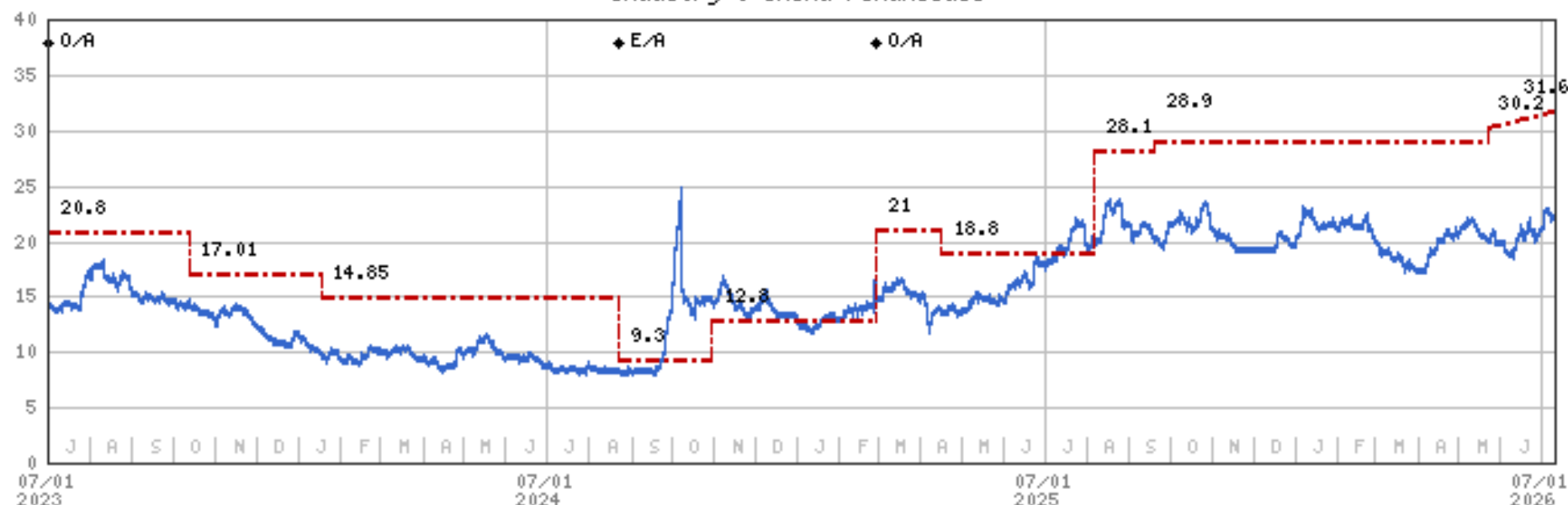
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

China International Capital Corp. Ltd. (3908.HK) - As of 07/10/26 GMT in HKD
Industry : China Financials



Stock Rating History: 7/1/21 : 0/A; 5/20/22 : E/A; 1/6/23 : 0/A; 8/22/24 : E/A; 2/28/25 : 0/A

Price Target History: 5/7/21 : 26.5; 9/30/21 : 26.55; 12/7/21 : 27.93; 5/20/22 : 14.75; 9/29/22 : 13.29; 1/6/23 : 17.47; 3/2/23 : 19.71; 5/15/23 : 20.8; 10/12/23 : 17.01; 1/17/24 : 14.85; 8/22/24 : 9.3; 10/29/24 : 12.8; 2/28/25 : 21; 4/16/25 : 18.8; 8/7/25 : 28.1; 9/19/25 : 28.9; 5/22/26 : 30.2; 7/10/26 : 31.6

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

CITIC Securities Co. (600030.SS) - As of 07/10/26 GMT in CNY
Industry : China Financials



Stock Rating History: 7/1/21 : O/A; 5/20/22 : E/A; 8/7/25 : O/A

Price Target History: 6/23/21 : 32.28; 9/30/21 : 31.98; 12/7/21 : 30.2; 5/20/22 : 19.44; 9/29/22 : 19.52; 1/6/23 : 20.42; 3/2/23 : 21.19; 10/12/23 : 20.57; 8/22/24 : 19.2; 10/29/24 : 25.1; 4/16/25 : 22.5; 8/7/25 : 36.3; 9/19/25 : 37.1; 5/22/26 : 37.3; 7/10/26 : 40.1

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

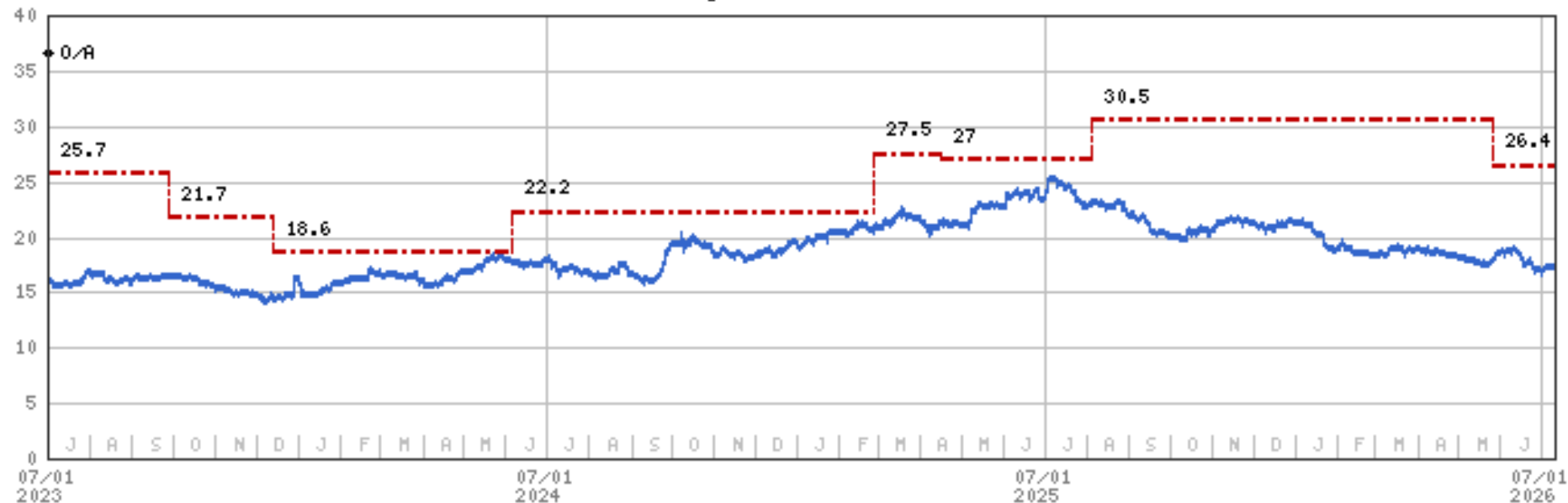
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Industrial Bank Co. Ltd. (601166.SS) - As of 07/10/26 GMT in CNY
Industry : China Financials



Stock Rating History: 7/1/21 : 0/A
Price Target History: 5/20/21 : 32.4; 12/7/21 : 31.5; 5/20/22 : 28.9; 9/19/22 : 23.6; 5/12/23 : 25.7; 9/28/23 : 21.7;
12/13/23 : 18.6; 6/5/24 : 22.2; 2/26/25 : 27.5; 4/16/25 : 27; 8/5/25 : 30.5; 5/26/26 : 26.4

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)
Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.
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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
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Chiyao Huang

China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$21.58
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb20.56
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$16.52
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK\$27.30
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb28.40
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb20.19
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$97.02
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.25
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.94
GF Securities (000776.SZ)	E (08/07/2025)	Rmb21.75
GF Securities (1776.HK)	E (01/06/2023)	HK\$16.67
HTSC (601688.SS)	E (09/23/2024)	Rmb20.18
HTSC (6886.HK)	E (09/23/2024)	HK\$16.32

Richard Xu, CFA

Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.23
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.49
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$4.97
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb4.90
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb19.00
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb5.79
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.09
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$6.83
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.61
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb15.14
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb30.70
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.15
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$6.82
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.13
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.03
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.00
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.06
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb36.88
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$45.72
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.34
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.25
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.06
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.78
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$6.66
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.33

Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb17.33
Lufax (LU.N)		US\$1.36
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb10.45
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$4.67
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$14.88
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.06

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* Historical prices are not split adjusted.